

Signal Methodology

Ichimoku + EMA 50 confluence. How a signal is produced, and what each position risks.

The Strategy

We trade **pullbacks within an established trend** — never breakouts, never reversals.

A trend is identified using the EMA 50 and the Ichimoku cloud. We then wait for price to retrace into the zone where the EMA 50 and the Ichimoku baseline (Kijun-sen) meet, and we enter only once price has visibly rejected that zone.

Two independent methods marking the same price level is the setup. Everything else is a filter.

Conditions For A Signal

All six must hold. Failing any one produces no signal.

- 1 Tradeable market**
Rejected if the market is choppy, or too volatile, or already overextended.
- 2 Established trend**
EMA 50 sloping, price on the correct side of the cloud, and the cloud is thick enough to matter.
- 3 Market structure agrees**
Higher highs and higher lows for a long; the reverse for a short.
- 4 Confluence zone**
EMA 50 and Kijun-sen close together, ideally backed by the cloud edge.
- 5 Valid pullback**
Price retraces 15–61% of the last move into that zone. A full retracement invalidates the setup.
- 6 Price-action confirmation**
A **closed** candle rejects the zone. No entry is taken on an unfinished candle.

Signal Grades

Every signal carries a confidence score from 0 to 100, built only from conditions that were actually measured.

Grade	Score	Meaning
STRONG	78+	All conditions aligned
LONG / SHORT	62–77	Actionable signal
WATCH	45–61	Forming; not yet actionable
NEUTRAL / NO TRADE	Below 45	No position

Only STRONG and LONG/SHORT are tradeable. WATCH is shown for transparency.

Risk & Reward

Risk is defined before entry and never widened. Every position is measured in **R** — multiples of the amount risked.

Level	Distance	Action
Stop loss	1 R	Placed beyond the structural low/high. Minimum 8 pips.
Target 1	1.5 R	Stop moves to entry. Position can no longer lose.
Target 2	2.5 R	Partial or full exit.
Target 3	3.5 R	Final target.

Risk/reward: 1 : 1.5 minimum, up to 1 : 3.5.

After Target 1 is reached the worst possible outcome of the position is breakeven.

Coverage & Discipline

Pairs	EUR/USD, GBP/USD, USD/JPY, USD/CHF, AUD/USD, USD/CAD, NZD/USD
Timeframes	4H and 1H, filtered by the 1D trend
Hours	07:00–21:00 UTC, weekdays only
Open positions	One per pair. No averaging, no adding.
After a close	That pair is stood down for 10 hours.
Unresolved	A position open for 10 days is closed and excluded from results.
Monitoring	Continuous. Stops and targets are tracked outside market hours.

What To Expect

Signals are infrequent by design. All six conditions must hold simultaneously. Quiet days are the method working, not a fault.

Every signal is recorded with its outcome. Performance is reported in R and broken down by market condition and signal grade, so results can be judged rather than asserted.

Important. This is a signal methodology, not a performance claim. Past or simulated results do not indicate future returns. Trading foreign exchange carries substantial risk of loss.